



MEMORANDUM

CN - No. 2026-0020

THE PHILIPPINE STOCK EXCHANGE, INC.

- | | |
|-------------------------------------|---|
| ☐ Trading | ☐ Public Advisory |
| ☐ Disclosure | ☐ Administrative/Technology Matters |
| ☐ Listing | ☒ Others: Proposed Rule Amendments |

TO : THE INVESTING PUBLIC AND MARKET PARTICIPANTS

SUBJECT : 2026 PROPOSED REVISIONS TO THE AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP

DATE : May 13, 2026

The Exchange is inviting all interested parties to submit their comments on the proposed revisions to the Amended Rule on Minimum Public Ownership, as discussed in the attached Consultation Paper.

Comments may be sent to the Office of the General Counsel at ogc_list@pse.com.ph until May 20, 2026.

For your information and guidance.

(Original signed)
Ramon S. Monzon
President and CEO

CMDD	FD	IRD	MOD	TD	HRD / RISK / SU	CCD / FMD / AD	OGC	COO
Tel. No.: (632) 8876-4888					E-mail Address: investing@pse.com.ph			



The Philippine Stock Exchange, Inc.

Consultation Paper

2026 PROPOSED REVISIONS TO THE AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP

Disclaimer: This Consultation Paper is disseminated for the purpose of soliciting comments from the concerned stakeholders. The final version of the Rules may differ from the draft rules contained in this Consultation Paper.

I. Consultation Process

This Consultation Paper is circulated to give concerned stakeholders an opportunity to submit comments on the proposed revisions to the Amended Rule on Minimum Public Ownership (“Amended MPO Rule”) to comply with the Securities and Exchange Commission (“SEC”) Memorandum Circular No. 11, series of 2026 on Minimum Public Ownership Rules for Issuers of Shares of Stock to be listed on an Exchange (“SEC MC 11-2026”).

Interested parties may submit their comments and requests for clarifications by e-mail to ogc_list@pse.com.ph until **May 20, 2026**.

II. Background

The Exchange proposes to further revise the Amended MPO Rule to align the Exchange’s rules and requirements with SEC’s new rules and requirements on minimum public ownership (“MPO”) and to comply with SEC’s directive to amend and update the Exchange’s listing rules, manuals, and other relevant regulations to ensure consistency and alignment with SEC MC 11-2026.

A copy of SEC MC 11-2026 is attached as Annex “A”, for reference.

III. Proposed Revisions (pursuant to SEC MC 11-2026)

Pursuant to SEC MC 11-2026, the Exchange proposes the following salient revisions to the Amended MPO Rule:

1. *Tiered initial MPO requirement for companies which will conduct an initial public offering (“IPO”) after the effectivity of SEC MC 11-2026 (“Covered Companies”):*

Expected Market Capitalization at the Time of Listing	Minimum Initial Public Ownership
Not exceeding Php500 Million	33%
Over Php500 Million but not exceeding Php1 Billion	25% (subject to a minimum offer size of Php165 Million)
Over Php1 Billion but not exceeding Php50 Billion	20% (subject to a minimum offer size of Php250 Million)
Over Php50 Billion	15% (subject to a minimum offer size of Php10 Billion)

2. *MPO requirement post-IPO for Covered Companies:*

Covered companies must maintain the following MPO percentage post-IPO:

Market Capitalization at the Time of Listing	Minimum Maintaining Public Ownership
Not exceeding Php50 Billion	20%
Over Php50 Billion	15%

In case a lower MPO requirement is approved pursuant to the next item, the maintaining MPO shall in no case be lower than the approved MPO percentage during the IPO.

Listed companies which made their IPOs before the effectivity of SEC MC 11-2026 are required to maintain an MPO percentage under the MPO rules in effect at the time of their listing.

3. *Approval of a lower MPO requirement for issuers with exceptionally large expected market capitalization at the time of listing:*

Subject to prior or subsequent approval of SEC, the Exchange may allow a lower MPO requirement which in no case shall be lower than twelve percent (12%), for issuers with exceptionally large expected market capitalization at the time of listing, subject to compliance with the eligibility criteria set out in the Amended MPO Rule.

4. *New reportorial requirements*

Under SEC MC 11-2026, when the public float of a listed company falls below the MPO requirement, the listed company is required to submit a time-bound business plan describing the steps that the company will take to restore its public float to the required level ("Compliance Plan"). Thereafter, the company will submit a Public Ownership Report ("POR") and a progress report on the Compliance Plan within fifteen (15) days after the end of each month until such time that its public float reaches the required level. The Exchange likewise adopts SEC's reportorial requirements and submission timelines.

In view of the foregoing, the Exchange proposes to remove the submission of the monthly POR in case the public float falls below twelve percent (12)%, within fifteen (15) days after the end of each month until the public float is 12% or higher.

In lieu thereof, the Exchange proposes the submission of an interim POR immediately upon execution of a transaction (such as but not limited to issuance of new shares or transfer of shares from public to non-public shareholders) which will result in the reduction of the listed company's MPO below the prescribed MPO percentage.

IV. Proposed Revisions (as provided in PSE Memorandum CN - No. 2023-0041)

In addition to the foregoing, the following proposed amendments to the Amended MPO Rule as discussed in the Consultation Paper attached to PSE Memorandum CN - No. 2023-0041 are carried over and adopted:

- a. Codification of the different MPO requirements for listed companies

COMPANY	MINIMUM PUBLIC OWNERSHIP
Listed prior to the effectivity of SEC Memorandum Circular No. 13, Series of 2017	10%
Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017	20%
Real Estate Investment Trust	33.33%

- b. Clarification that the basic disclosure principles and scale of penalties in the Consolidated Listing and Disclosure Rules apply to the Amended MPO Rule
- c. Deletion of the transitory provisions relating to the grace period for compliance with the MPO requirement
- d. Clarification on the available courses of action in case of non-compliance with the MPO requirement and the consequences of continued non-compliance

A listed company that becomes non-compliant with the minimum public ownership requirement under these Rules shall be immediately suspended from trading for a period of not more than six (6) months from the date of breach, during which period it may take steps to restore compliance with the minimum public ownership requirement or file a petition for voluntary delisting pursuant to the Amended Voluntary Delisting Rules.

- e. Clarification on the effects of the approval of a petition for voluntary delisting or the automatic delisting of a listed company due to non-compliance with MPO requirement

Where a petition for voluntary delisting is approved by the Exchange, the five (5) year relisting prohibition and the disqualification of directors and officers under the Involuntary Delisting Rules **shall not apply**.

Where a listed company is automatically delisted, the five (5) year relisting prohibition and the disqualification of directors and officers under the Involuntary Delisting Rules **shall apply**.

The proposed Amended MPO Rule, incorporating the abovementioned proposed revisions, is attached as Annex "B."

SEC MEMORANDUM CIRCULAR NO. 11
Series of 2026

TO : ALL CONCERNED

**SUBJECT : MINIMUM PUBLIC OWNERSHIP RULES FOR ISSUERS OF
SHARES OF STOCK TO BE LISTED ON AN EXCHANGE**

WHEREAS, Section 2 of the Securities Regulation Code (SRC) declares it a policy of the State to, among others, promote the development of the Philippine capital market and encourage the widest participation of ownership in enterprises;

WHEREAS, Section 5 (b) of the SRC provides that the Commission has the power to formulate policies and recommendations on issues concerning the capital markets;

WHEREAS, Section 8.1 of the SRC provides authority to the Commission to approve applications for registration of securities before being sold, offered for sale or distributed within the Philippines on the basis of the registration statement filed with the Commission;

WHEREAS, Sections 12.1 and 12.2 of the SRC also authorize the Commission to prescribe the form, information and documents that shall be contained in any registration statement, to dispense with any of said requirements and to require additional information or documents;

WHEREAS, Section 12.6 further authorizes the Commission to impose such terms and conditions as may be necessary or appropriate for the protection of investors before taking any action on a filed registration statement;

WHEREAS, the public ownership of a company is determined through its public float;

WHEREAS, global Initial Public Offering (IPO) activity remains uneven across regions, with overall listings still below the peak periods of previous market cycles;

WHEREAS, in response to these conditions, several markets have adopted more facilitative regulatory approaches to reinvigorate domestic IPO activity, including rationalizing listing requirements, enhancing flexibility in free-float thresholds, and reducing compliance burdens for issuers without compromising investor protection;

WHEREAS, the Philippines must remain competitive relative to peer markets in attracting companies to list, especially in a global environment where issuers may consider alternative venues for capital raising or delay their IPO plans when faced with stringent or inflexible regulatory thresholds;

WHEREAS, the relatively low number of IPOs in recent years, together with emerging constraints in the domestic market's absorptive capacity for large offerings, reflected in shifts in liquidity conditions, investor allocation patterns, and prevailing risk appetite, underscores the need to review and recalibrate minimum public ownership requirements to ensure that issuance thresholds are responsive to current market realities;

✉ The SEC Headquarters, 7907 Makati Avenue
Salcedo Village, Bel-air, Makati City
☎ (+63 2) 5322 7696
🌐 www.sec.gov.ph | imessagemo@sec.gov.ph
<https://linktr.ee/secphilippines>

**INVESTORS
IN PEOPLE**
We invest in people



WHEREAS, while the benefits of broader public ownership, including deeper liquidity, improved price discovery, reduced volatility, a more dispersed shareholding structure, and enhanced governance, remain vital to the development of the Philippine capital market, these must be balanced against the equally important objective of ensuring that the regulatory framework does not impose undue burdens that may discourage sizeable issuers from accessing public markets;

WHEREAS, adopting a tiered minimum public ownership framework provides a proportionate and market-aligned approach that preserves the long-term benefits of adequate public float while addressing present-day constraints in demand absorption for large issuances, thereby supporting capital formation and encouraging more companies to pursue listing in the Philippines;

WHEREAS, the SRC authorizes the Commission to issue rules and regulations to make effective the provisions of the SRC;

NOW, THEREFORE, the Commission hereby issues and promulgates the following rules and regulations governing the public ownership requirement of companies intending to undertake initial public offering as part of the terms and conditions for the registration of securities.

Section 1 – Definition of Terms

- A. **Commission** shall refer to the Securities and Exchange Commission.
- B. **Public Float** shall refer to the portion of a company’s issued and outstanding common shares that are freely available and tradable in the market and are non-strategic in nature or those not meant for the purpose of gaining substantial influence on how the company is being managed.

Significant shareholdings of 10% or more of the total issued and outstanding shares of the company are considered strategic and thus, excluded in the public float of the company.
- C. **Minimum Public Ownership (MPO)** shall refer to the lowest allowable percentage of Public Float of a Publicly Listed Company (PLC).
- D. **Exchange** is an organized marketplace or facility, duly registered with the Commission, that brings together buyers and sellers, and executes trades of shares or stocks.
- E. **Rules** shall refer to these Rules and Regulations on MPO on Initial Public Offerings.

Section 2 – Coverage

Unless otherwise provided for by law, these Rules shall apply to any company applying for the registration of its shares of stock for the purpose of conducting an IPO. Said company shall herein be referred to as “covered company.”

Section 3 – Minimum Initial Public Ownership Requirement

- A. A covered company filing registration statement pursuant to Sections 8 and 12 of the SRC with the intention to list their shares for trading on an exchange shall apply for registration with a public float that meets minimum requirements provided below:

Expected Market Capitalization at the Time of Listing	Minimum Initial Public Ownership
Not exceeding PHP 500M	33%
Over PHP 500M but not exceeding PHP 1B	25% (subject to a minimum offer size of PHP 165M)
Over PHP 1B but not exceeding PHP 50B	20% (subject to a minimum offer size of PHP 250M)
Over PHP 50B	15% (subject to a minimum offer size of PHP 10B)

- B. In cases involving issuers with exceptionally large expected market capitalization at the time of listing, the exchange may, upon a determination that market liquidity, investor protection, and orderly trading will not be impaired, endorse the application of a lower minimum initial public ownership requirement. Provided, that this subsection shall apply only to issuers with an expected market capitalization at the time of listing of not less than Two Hundred Billion Pesos (PHP 200,000,000,000). Provided, further, that such minimum initial public ownership shall in no case be lower than twelve percent (12%).

Any endorsement under this subsection shall be subject to compliance with the guidelines and implementing rules to be promulgated by the exchange, which shall, at a minimum, prescribe:

1. Objective thresholds or criteria for determining eligibility under this subsection, including expected market capitalization, minimum offer size, or minimum number of shares held by the public;
2. Safeguards to ensure adequate liquidity, dispersion of ownership, and fair price discovery; and
3. Disclosure requirements to ensure transparency to investors.

The exchange shall submit supplemental rules and guidelines, as may be necessary for the effective implementation of this Circular, to the Commission for approval.

Section 4 – Maintenance and Post-Listing Minimum Public Ownership Requirement

- A. A covered company shall, at all times, maintain a public ownership percentage equal to or greater than the prescribed minimum corresponding to its market capitalization at the time of listing, as follows:

Market Capitalization at the Time of Listing	Minimum Maintaining Public Ownership
Not exceeding PHP 50B	20%
Over PHP 50B	15%

Provided, that where a lower minimum initial public ownership was approved pursuant to Section 3(B), the minimum maintaining public ownership shall in no case be lower than the approved initial public ownership percentage.

- B. If the public ownership of a covered company falls below its prescribed minimum maintaining public ownership at any time after registration, such company shall bring the public float to the required level within a maximum period of six (6) months from the date of such fall.
- C. Notwithstanding the quarterly public ownership report requirement of the exchange, a covered company shall establish and implement an internal policy and procedure to monitor its public ownership and shall immediately report to the Commission within the next business day after determining that its public float has fallen below the required minimum. Further, a covered company shall submit to the Commission within ten (10) days after the knowledge about the deficiency in its public ownership, a time bound business plan describing the steps that the company will take to bring the public float to the required level within a maximum period of six (6) months from the date of such decline.
- D. A covered company shall submit to the Commission a Public Ownership Report and progress report on the submitted business plan within fifteen (15) days after the end of each month until such time that its public float reaches the required level.
- E. Companies who made their IPOs before the effectivity of these Rules shall be subject to the minimum maintaining public ownership percentage under the MPO rules in effect at the time of their listing.

Notwithstanding Section 2 of this Circular, any breach of the applicable minimum maintaining public ownership requirement for all publicly-listed companies shall be governed by the reporting, remediation, and monitoring requirements under Sections 4(B), 4(C), and 4(D) hereof.

Section 5 – Monitoring and Policy Review

The Issuer and the Underwriters shall submit a post-transaction report on the bookbuilding process within ten (10) days from the completion of the offer. The report shall include, at a minimum, a summary of investor demand by price and volume tiers, and such other information as may be necessary to evaluate the pricing and allocation outcomes of the offering.

The report shall be treated as confidential supervisory information and may be submitted in aggregated and anonymized form. It shall be used by the Commission exclusively for market-oversight purposes and for the periodic review and assessment of the appropriateness and effectiveness of the minimum public ownership policy and related regulatory requirements. The submission of such information shall not, in itself, give rise to pricing- or allocation-related enforcement actions, except where material regulatory violations are identified.

Section 6 – Sanctions and Penalties for Non-Compliance

Non-compliance with any of the requirements and procedures herein shall subject a covered company to the administrative sanctions provided under Section 54 of the SRC, including the initiation of suspension and/or revocation proceedings against their Registration Statements pursuant to the pertinent provisions of the SRC, if warranted.

Section 7 – Repealing Clause

Any other existing Commission rule, circular, order, memorandum, or any part thereof, and such other rules approved by the Commission, that are inconsistent or in conflict with the foregoing are hereby repealed or modified accordingly.

Section 8 – Transitory Clause

The exchange is hereby given a period of three (3) months from the effectivity of these Rules within which to amend and update its listing rules, manuals, and other relevant regulations to ensure consistency and alignment with the provisions of this Circular.

Section 9 – Effectivity

These Rules shall take effect immediately following the completion of its publication in two (2) newspapers of general circulation in the Philippines.

Done this 24 February 2026 in Makati City, Philippines.

For the Commission:


FRANCISCO ED. LIM
 Chairperson

AMENDED RULE ON MINIMUM PUBLIC OWNERSHIP

ARTICLE XVIII

CONTINUING LISTING REQUIREMENTS

XXX

SECTION 3. Minimum Public Ownership

Section 1. Authority and Policy Basis

This Rule is issued pursuant to Securities and Exchange Commission ("SEC" or the "Commission") Memorandum Circular No. 11, Series of 2026, which prescribes new minimum public ownership ("MPO") requirements for listed companies and authorizes the Exchange, subject to criteria and safeguards approved by the Commission, to endorse a lower MPO requirement for issuers with exceptionally large expected market capitalization upon such terms and conditions as may be necessary or appropriate for the protection of investors, the maintenance of a fair, orderly, and efficient market, and the promotion of the public interest.

Section 2. Minimum Public Ownership Requirement

- (a) A company applying for initial listing through an initial public offering is required to have a minimum initial public ownership, as follows:

<u>COMPANY</u>	<u>MINIMUM INITIAL PUBLIC OWNERSHIP</u>	
<u>Listed prior to the effectivity of SEC Memorandum Circular No. 13, Series of 2017</u>	<u>10%</u>	
<u>Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017</u>	<u>20%</u>	
<u>Listed after the effectivity of SEC Memorandum Circular No. 11, Series of 2026</u>	<u><i>Expected Market Capitalization at the time of Listing</i></u>	<u><i>Minimum Initial Public Ownership</i></u>
	<u>Not exceeding PhP 500 million</u>	<u>33%</u>
	<u>Over PhP 500 million but not exceeding PhP 1 billion</u>	<u>25%</u> <u>(subject to a minimum offer size of PhP 165 million)</u>
	<u>Over PhP 1 billion but not exceeding PhP 50 billion</u>	<u>20%</u>

<u>COMPANY</u>	<u>MINIMUM INITIAL PUBLIC OWNERSHIP</u>	
		<u>(subject to a minimum offer size of PhP 250 million)</u>
	<u>Over PhP 50 billion</u>	<u>15%</u> <u>(subject to a minimum offer size of PhP 10 billion)</u>
<u>Real Estate Investment Trust</u>	<u>33.33%</u>	

- (b) Listed companies shall, at all times, maintain a the prescribed minimum percentage of listed securities held by the public, as follows, calculated based on issued and outstanding common shares: ~~of ten percent (10%) of the listed companies' issued and outstanding shares, exclusive of any treasury shares, or as such percentage that may be prescribed by the Exchange. The Exchange may impose a higher percentage effective upon receipt by the Commission of a written notice of such increase.~~

<u>COMPANY</u>	<u>MINIMUM MAINTAINING PUBLIC OWNERSHIP</u>	
<u>Listed prior to the effectivity of SEC Memorandum Circular No. 13, Series of 2017</u>	<u>10%</u>	
<u>Listed after the effectivity of SEC Memorandum Circular No. 13, Series of 2017</u>	<u>20%</u>	
<u>Listed after the effectivity of SEC Memorandum Circular No. 11, Series of 2026</u>	<u>Market Capitalization at the time of Listing</u>	<u>Minimum Maintaining Public Ownership</u>
	<u>Not exceeding PhP 50 billion</u>	<u>20%</u>
	<u>Over PhP 50 billion</u>	<u>15%</u>
<u>Real Estate Investment Trust</u>	<u>33.33%</u>	

For avoidance of doubt, treasury shares shall be excluded from the computation of the minimum public percentage.

The Exchange may increase, decrease, suspend, or remove the minimum percentage ~~or suspend or remove the same~~ only with prior approval from the Commission.

- (c) Subject to prior or subsequent approval of the Commission, as may be required, the Exchange may, in the exercise of its regulatory discretion, allow an issuer to comply with a lower minimum public ownership requirement than that prescribed above, provided that the Exchange determines, based on the totality of circumstances and supported by clear, objective, and verifiable evidence, that the grant of such relief is consistent with investor protection, market liquidity, and the public interest.

i. Eligible Companies

An issuer with exceptionally large expected market capitalization at the time of listing of not less than PhP 200 billion may be considered eligible for the grant of a lower MPO requirement, which in no case shall be lower than twelve percent (12%).

ii. Eligibility Criteria

An issuer that complies with the immediately preceding criterion shall be considered eligible for the grant of a lower MPO requirement only if it complies with all of the following criteria:

- 1) The issuer is able to establish, to the satisfaction of the Exchange, based on objective and verifiable market data, that a lower MPO requirement, at the time of listing, would reasonably be expected to promote a more orderly, effective, and equitable distribution of shares to the investing public, which, in turn, may contribute to improved pricing efficiency and liquidity of the shares:
- 2) The issuer has demonstrated full compliance with applicable registration and disclosure requirements under the SRC and its implementing rules and regulations, as well as the Exchange's rules, and has undertaken to provide enhanced, timely, and continuing disclosures, as may be required by the Exchange, to ensure that investors are fully informed of the implications of a reduced public float, including any attendant liquidity, trading, or ownership concentration risks; and
- 3) The issuer has put in place, or has committed to implement, adequate safeguards acceptable to the Exchange to mitigate risks associated with a reduced public float, including measures to promote liquidity support and timely compliance with applicable disclosure and continuing listing obligations.

Section 3. Guidelines in Determining the Public Ownership of Listed Companies

For purposes of this section, ~~Public ownership shall be determined based on~~ **in accordance with** the **Amended** Guidelines in Determining the Public Ownership of Listed Companies. ~~Any amendment of the said guidelines shall be subject to prior approval of the Commission.~~

Section 4. Disclosure and Continuing Compliance Requirements

- (a) A listed company shall immediately disclose to the Exchange, in accordance with Section 4.1, **Article VII** of the **Consolidated Listing and** ~~Revised Disclosure Rules, as amended if it becomes aware that~~ **once** the number of its listed securities ~~which are in the hands of~~ **held by** the public ~~has fallen~~ **falls** below the prescribed minimum **public ownership** percentage.

For this purpose, all listed companies shall establish **and maintain** ~~an effective~~ **internal** procedures for monitoring **compliance with the MPO requirement** of public float, which shall include, at ~~the~~ **a** minimum, **a** ~~the~~ computation of public float on a monthly basis.

- (b) **Upon falling** ~~Once the listed company becomes aware that the number of its listed securities in the hands of the public has fallen below the prescribed minimum~~ **public ownership** percentage, the listed company shall **promptly** take **corrective measures** steps to **restore** ~~ensure~~ compliance at the earliest possible time **and within a maximum period of six (6) months from date of such fall,** and shall immediately disclose to the Exchange such steps. **The listed company shall submit to the Exchange, no later than ten (10) days from the date of the breach of the MPO requirement, a Compliance Plan or a time bound business plan describing the steps that the company will take to bring its public float to the required level within a maximum period of six (6) months from date of such breach.**
- (c) A listed company shall include in its annual report a statement ~~on the level of its public float. The statement should be based on information that is publicly available to the listed company within the knowledge of its directors~~ **level** as ~~at of~~ **at of** the end of the fiscal year, or, **where applicable, as of** ~~at~~ the latest practicable date, prior to the issuance of the annual report.
- (d) Listed companies shall submit to the Exchange a Public Ownership Report ("POR") within fifteen (15) calendar days after the end of each quarter: ~~Provided, That, if the public float of a listed company falls below twelve percent (12%) of its issued and outstanding shares, exclusive of any treasury shares, the listed company shall submit to the Exchange a POR within fifteen (15) calendar days after the end of each month, until such time that its public float is 12% or higher.~~
- (e) **In the event that a listed company's minimum public ownership will be reduced below the prescribed minimum percentage as a result of any transaction, including but not limited to the issuance of new shares or transfer of shares from public to non-public**

shareholders, the listed company shall, immediately upon execution of such transaction, submit to the Exchange an interim POR reflecting the percentage of its public ownership post-transaction.

- (f) Listed companies shall ensure that all PORs contain full, fair, timely, and accurate information in accordance with Section 1, Article VII of the Consolidated Listing and Disclosure Rules. A POR that does not comply with the foregoing requirements shall be deemed non-compliant.
- (g) Any and all reports required to be filed by a listed company with the Commission under SEC Memorandum Circular No. 11, Series of 2026 shall likewise be filed with the Exchange. The Exchange shall adopt the Commission's reportorial requirements and submission timelines, unless otherwise provided by the Exchange.

Section 5. Companies Listing by Way of Introduction and Backdoor Listings

Upon and after listing, all listed companies, including those listed by way of introduction and those admitted through backdoor listings, shall be subject to the maintenance, disclosure, reporting, monitoring, and enforcement provisions of these Rules.

For the avoidance of doubt:

- (a) Companies listing by way of introduction shall be required to meet and maintain the MPO requirement prescribed under Section 2 hereof: Provided, That, the issuer shall be able to demonstrate compliance with the applicable MPO requirement at the time of filing of the listing application and shall maintain such compliance upon listing and thereafter, subject to the continuing compliance obligations under these Rules upon listing.
- (b) In the case of companies admitted through a backdoor listing, compliance with the MPO requirement prescribed under Section 2 hereof shall be required immediately upon completion of the backdoor transaction and such companies shall thereafter be subject to the continuing disclosure, reporting, monitoring, and enforcement provisions of these Rules.

Section 6. Sanctions for Non-Compliance

- (a) Any violation of the reportorial requirements under this Rule shall warrant the imposition of the applicable penalties under Section 1, Article VIII of the Consolidated Listing and Disclosure Rules.
- (b) ~~Companies which are non-compliant with MPO as of December 31, 2011, may be allowed a grace period to comply with the MPO. The grace period shall be reckoned from the date of effectivity of these amendments and shall not exceed twelve (12) months but not beyond December 31, 2012.~~

~~Listed companies other than those under paragraph (g) that are non-compliant with the MPO may be allowed a grace period to comply with the MPO to be reckoned from either: (i) the date when the listed company makes a disclosure that its public ownership level has fallen below the MPO prescribed by the Exchange; or (ii) when the listed company submits its quarterly Public Ownership Report which shows that the listed company has not complied with the MPO requirement, whichever comes earlier, and such grace period shall not exceed twelve (12) months but not beyond December 31, 2012.~~

~~Immediately after the grace period, the Exchange shall impose a trading suspension for a period of not more than six (6) months. If after the lapse of the suspension period, a listed company remains non-compliant with the MPO, it shall automatically be delisted.~~

A listed company which ~~that~~ becomes non-compliant with the MPO requirement under these Rules MPO on or after January 1, 2013 shall be immediately suspended from trading for a period of not more than six (6) months ~~from the date of breach, during which period it may take steps to restore compliance with the MPO requirement or file a petition for voluntary delisting pursuant to the Amended Voluntary Delisting Rules.~~

A listed company that remains non-compliant upon the lapse of the suspension period and shall be automatically delisted if it remains non-compliant with the MPO after the lapse of the suspension period.

For the avoidance of doubt, the submission of a Compliance Plan or the pendency of corrective measures shall not suspend or defer the imposition of trading suspension under this paragraph.

- (c) Where a listed company has timely filed a petition for voluntary delisting prior to the lapse of the suspension period, but such petition has not yet been approved due to justifiable reasons beyond the control of the company, the Exchange may, in the exercise of its discretion, defer the imposition of automatic delisting.
- (d) Where a petition for voluntary delisting is approved, the five (5) year relisting prohibition and the disqualification of directors and officers under the Involuntary Delisting Rules shall not apply.

Where a listed company is automatically delisted pursuant to paragraph (b) hereof, the procedure for delisting under the Involuntary Delisting Rules of the Exchange will shall not apply to the delisting of the listed company's securities covered by these rules on MPO ~~but; however,~~ the five (5) year relisting prohibition ~~on relisting and the disqualification of directors and officers~~ shall apply.

~~In cases falling under paragraph (h) of these rules, a listed company which is non-compliant with the MPO may apply with the Exchange for an extension of the grace period or in cases under paragraph (j) for granting of a grace period.~~

~~The Exchange, after determining that the shortfall in the public ownership in any of said cases is due to justifiable causes and the listed company has a concrete program to restore the public ownership level to the required percentage, may recommend to the Commission for approval the extension of the grace period or granting of a grace period for such reasonable period. For purposes of these rules, justifiable causes may include tender offer and merger and acquisition transactions.~~

~~A company that undergoes voluntary delisting on the ground of non-compliance with these rules must conduct, either by itself or through its controlling shareholder(s), a tender offer to all stockholders of record. The Exchange shall allow a voluntary delisting if the company demonstrates that following the acquisition of the tendered shares, the person(s) conducting the tender offer have obtained more than ninety percent (90%) of the issued and outstanding shares of the company, or such level or percentage aligned with the minimum public float prescribed by the Exchange. However, if at the time the petition for delisting is filed, the person(s) proposing the delisting beneficially own ninety percent (90%) of the issued and outstanding shares of the Company, or such level or percentage aligned with the minimum public float prescribed by the Exchange, said person(s) shall still be required to make a tender offer to all other stockholders of record.~~

Section 7. Transitory and Grace Provisions

- (a) Listed companies that, as of the effectivity date of this Rule, are already subject to monitoring, reporting, or corrective actions arising from non-compliance with the MPO requirement shall continue to be governed by the applicable rules, undertakings, and regulatory actions in force at the time of such non-compliance: Provided, That, the disclosure, reporting, and compliance requirements under this Rule shall apply prospectively from its effectivity date, without prejudice to the Exchange's continuing regulatory authority.
- (b) Any pending submissions, reports, or compliance plans required to be filed with the Exchange prior to the effectivity of this Rule shall be deemed compliant if filed within the timelines prescribed under the rules then in force, unless otherwise directed by the Exchange.
- (c) Nothing in this Rule shall be construed to impair, diminish, or affect any regulatory action, sanction, suspension, or delisting process initiated by the Exchange prior to its effectivity.

Section 8. Repealing Clause

Any other existing Exchange rule or any part thereof inconsistent or in conflict with this Rule is hereby repealed or modified accordingly.

Section 9. Effectivity

This Rule shall take effect upon approval by the Securities and Exchange Commission and after publication by the Exchange in its official website.